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Economics Week Ahead

Weekly

Economist(s)



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[Tim Quinlan](#)



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[Charlie Dougherty](#)



[Michael Pugliese](#)



[Brendan McKenna](#)



[Jackie Benson](#)



[Shannon Grein](#)



[Nicole Cervi](#)

United States:

- [Personal Income & Spending](#) (Thursday), [Consumer Price Index \(CPI\)](#) (Friday)

G10 Economies:

- [Canada Labor Force Survey](#) (Friday)

Emerging Markets:

- [Reserve Bank of India](#) (Wednesday), [Mexico CPI](#) (Thursday), [Brazil CPI](#) (Friday)

Wells Fargo Economics Week Ahead

United States

Indicator Releases		Period	Consensus	Wells Fargo	Prior
6-Apr	ISM Services	Mar	54.9	56.8	56.1
7-Apr	Durable Goods Orders (MoM)	Feb	-1.0%	-1.6%	0.0%
7-Apr	Durable Goods Ex Transportation (MoM)	Feb	0.5%	0.6%	0.4%
9-Apr	Personal Income (MoM)	Feb	0.3%	0.3%	0.4%
9-Apr	Personal Spending (MoM)	Feb	0.6%	0.7%	0.4%
9-Apr	PCE (MoM)	Feb	0.4%	0.4%	0.3%
9-Apr	PCE (YoY)	Feb	2.8%	2.8%	2.8%
9-Apr	Core PCE (MoM)	Feb	0.3%	0.4%	0.4%
9-Apr	Core PCE (YoY)	Feb	2.9%	3.0%	3.1%
10-Apr	CPI (MoM)	Mar	0.9%	1.0%	0.3%
10-Apr	CPI (YoY)	Mar	3.4%	3.4%	2.4%
10-Apr	Core CPI (MoM)	Mar	0.3%	0.3%	0.2%
10-Apr	Core CPI (YoY)	Mar	2.7%	2.7%	2.5%
10-Apr	CPI Index NSA	Mar	330,720	330,698	326,785
10-Apr	Factory Orders	Feb	-0.3%	0.2%	0.1%

Fed Speakers (*Designating 2026 Voting Member)

7-Apr	Fed's Goolsbee in Moderated Q&A on Economy and Monetary Policy (12:35p ET)
8-Apr	March FOMC Minutes Released (2:00p ET)

International

G10 Economies		Period	Consensus	Wells Fargo	Prior
10-Apr	Canada Net Change in Employment	Mar	15.0K	20.0K	-83.9K
10-Apr	Canada Unemployment Rate	Mar	6.8%	6.7%	6.7%

Emerging Markets		Period	Consensus	Wells Fargo	Prior
8-Apr	Reserve Bank of India Policy Rate	8-Apr	5.25%	5.25%	5.25%
9-Apr	Mexico CPI (YoY)	Mar	4.65%	—	4.02%
9-Apr	Mexico Core CPI (YoY)	Mar	4.46%	—	4.50%
10-Apr	Brazil CPI (YoY)	Mar	—	—	3.81%

Forecast as of April 02, 2026

Source: Bloomberg Finance, L.P. and Wells Fargo Economics

Related Information:

- [U.S. Economic Forecast](#)
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U.S. Week Ahead

Personal Income & Spending • Thursday

U.S. economic data remain somewhat stale due to the lingering effects of last year's prolonged federal government shutdown. The upcoming Personal Income & Spending report is a case in point, with next week's release covering February activity—already about a month old. That lag feels more consequential amid ongoing tensions with Iran. High-frequency credit-card data through March suggest consumers remain resilient for now, but the risk of a slowdown grows the longer uncertainty persists, particularly if gasoline prices continue to climb sharply.

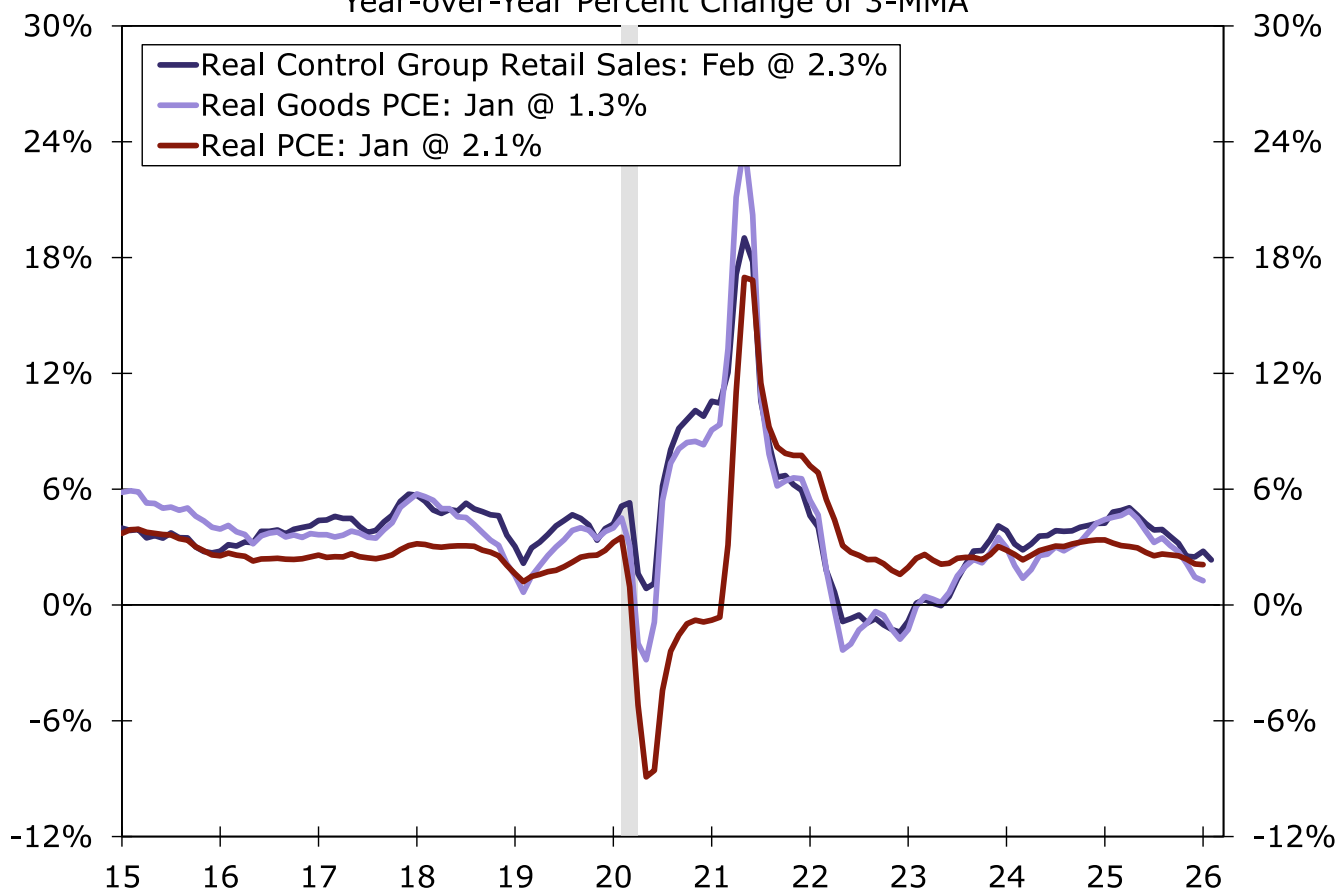
Looking at February, we expect personal spending to rise 0.7%. Solid retail sales—up 0.6% on the month, with the control group advancing 0.5%—point to healthy goods demand ([chart](#)), while firmer restaurant spending indicates continued momentum in services. That said, much of the nominal strength reflects higher prices. We expect the PCE deflator increased 0.4%, implying real spending rose a still-solid but more modest 0.3%. We forecast personal income to increase 0.3%, reflecting some normalization after January's boost from the Social Security cost-of-living adjustment.

([Return](#))

Real Control Group Retail Sales vs. PCE

Sales Ex. Food Services, Gasoline, Building Materials & Autos;

Year-over-Year Percent Change of 3-MMA



Source: U.S. Department of Commerce and Wells Fargo Economics

Consumer Price Index (CPI) • Friday

The March CPI report will put an abrupt end to the gradual disinflationary trend in place over the past two years. We estimate consumer prices rose 1.0% in March, leading to a year-over-year increase of 3.4% ([table](#)). Unsurprisingly, energy goods—largely gasoline—will account for the lion's share (~70 bps) of March's monthly increase as higher oil prices have quickly fed through to prices at the pump. Airline fares are expected to be another source of strength in March and drive public transportation prices up 7%, although we expect the recent surge in jet fuel to lead to an even larger rise in airfares in April.

We do not expect to see the effects of the Middle East conflict immediately feeding into other categories of inflation, however. Despite higher prices for LNG exports, domestic natural gas prices have been little changed, which should limit near-term energy services inflation. Meantime, food at home is likely to moderate in March thanks to giveback in the volatile fruits & vegetable component.

March 2026 Forecast

	Month-over-Month % Change		Year-over-Year % Change	
	<i>Forecast</i>	<i>Prior</i>	<i>Forecast</i>	<i>Prior</i>
<i>Seasonally Adjusted</i>	Mar.	Feb.	Mar.	Feb.
CPI (Consensus)	0.9	---	3.4	---
CPI (WF Estimate)	0.98	0.27	3.4	2.4
Food	0.17	0.39	2.9	3.1
Food at Home	0.10	0.44	2.3	2.6
Food Away from Home	0.28	0.32	3.8	3.9
Energy	11.30	0.63	13.0	0.4
Energy Goods	23.03	1.10	21.1	-5.2
Energy Services	0.50	0.17	5.1	6.3
Core CPI (Consensus)	0.30	---	2.7	---
Core CPI (WF Estimate)	0.30	0.22	2.7	2.5
Goods	0.16	0.08	1.3	1.0
Vehicles	0.25	-0.13	-0.7	-1.0
Other Goods	0.11	0.19	2.3	2.1
Services	0.34	0.27	3.2	2.9
Primary Shelter	0.25	0.20	3.0	3.1
"Super Core"*	0.47	0.29	3.6	2.9
<i>Not Seasonally Adjusted</i>	Index	MoM (%)	YoY (%)	
CPI (Consensus)	330.720	—	—	
CPI (WF Estimate)	330.698	1.20	3.4	

Forecast as of: April 02, 2026; Bloomberg Consensus

*Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")

Source: Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics

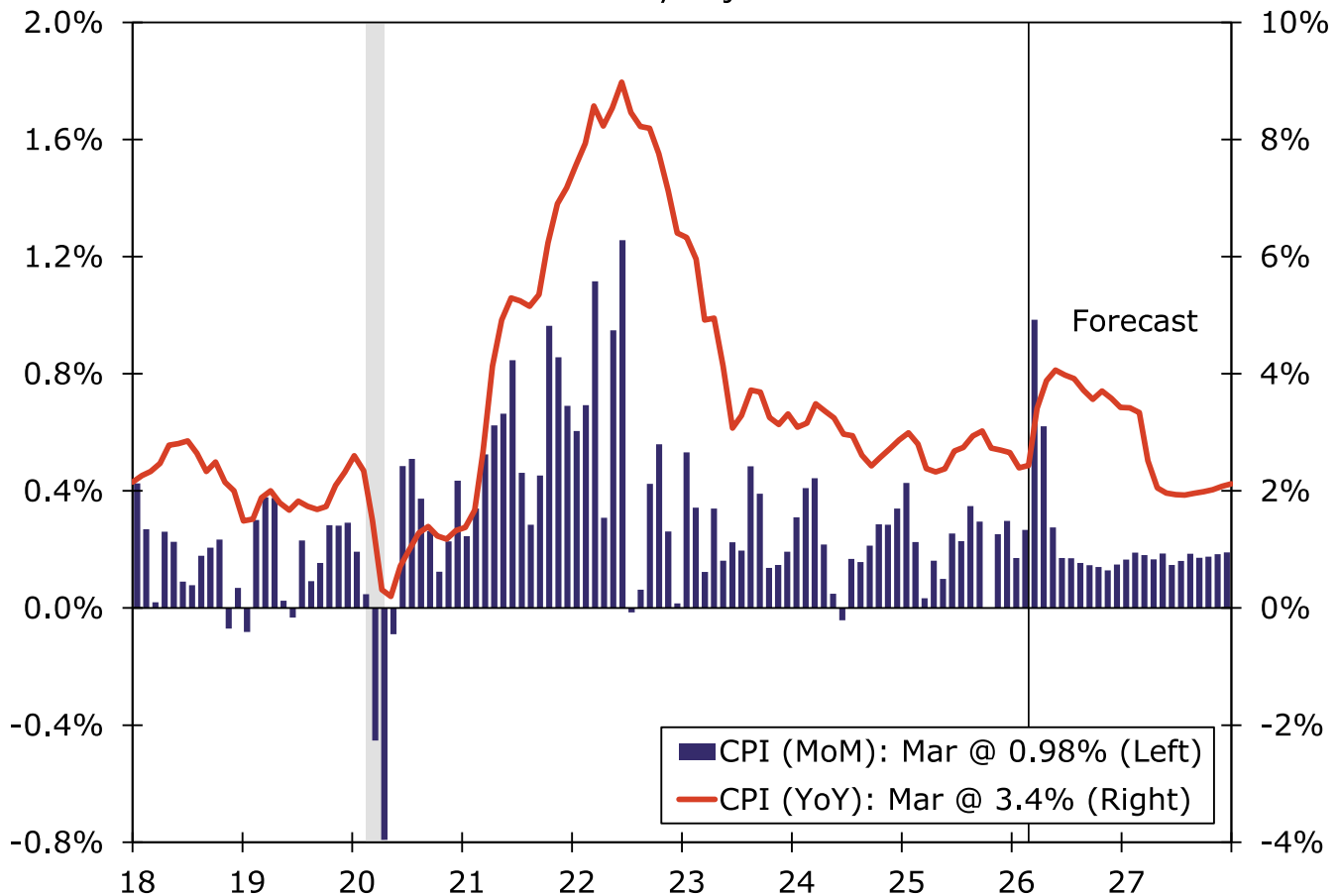
Within the core, we look for a modest strengthening in goods primarily due to a rebound in used auto prices. Core services is likely to match the 0.3% gain registered in February, as the expected jump in airline fares is largely offset by mean-reversion in medical care services and further softness in motor vehicle insurance. We anticipate primary shelter rose 0.25%, roughly in-line with its three-month average.

The recent oil shock is likely to dominate the view of inflation in March, but we expect the details to suggest that the modest downward trend in core CPI was already struggling to be maintained. A sustained increase in oil will further complicate progress in reducing inflation as higher production and transportation costs slowly seep into some core categories. Yet, the reduction in household purchasing power caused by higher gasoline prices is likely to limit the ability for some companies to pass on higher costs. We expect the year-over-year rate of core CPI to be stuck in the range of 2.7%–3.1% through the remainder of this year as a result ([chart](#)).

([Return](#))

Consumer Price Index

Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

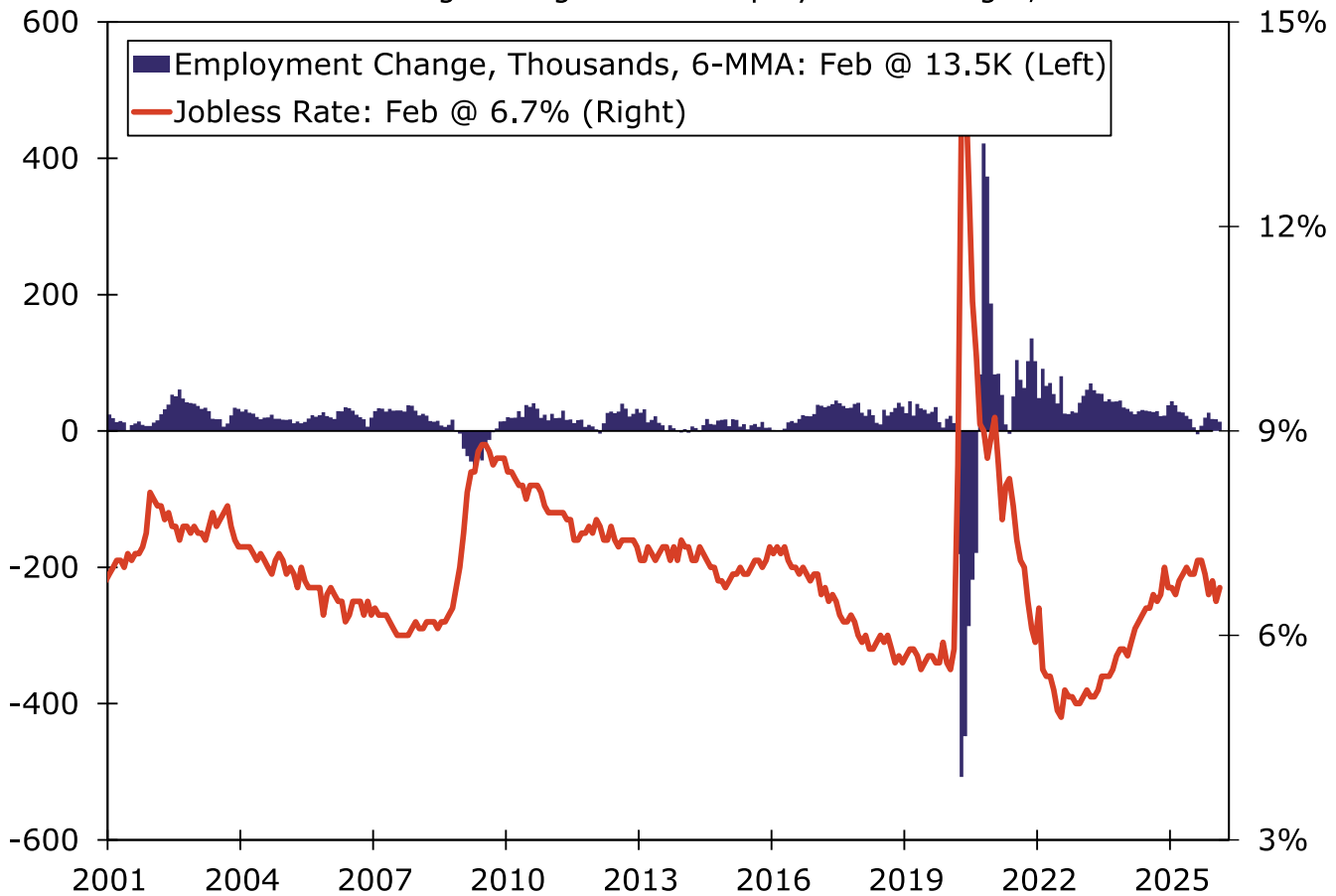
G10 Week Ahead

Canada Labor Force Survey • Friday

We look for Canada's March Labor Force Survey (LFS) to rebound from the soft January/February prints with +20K jobs, with the unemployment rate steady at 6.7%. Risks are asymmetric: upside to the jobs number and downside to the unemployment rate. The near-term story is a labor market that's stable, not collapsing—with the main fragility still concentrated in manufacturing and trade-exposed goods, while services, health care, energy and the public sector continue to look relatively resilient. That sector mix should be increasingly shaped by U.S. tariff exposure, the recent surge in energy prices and the impending USMCA review. Structurally, the backdrop has shifted: a shrinking population (net outflow of temporary residents) and an aging workforce are lowering labor force growth—and with it the monthly job threshold needed to keep unemployment stable. The implication is that the unemployment rate can drift lower even with only modest job creation over the coming months. A steadier labor market, in turn, likely tilts the Bank of Canada's (BoC) focus back toward inflation. We continue to see the BoC stuck on hold as it assesses the energy-price shock and the risk of inflation persistence/feedback. April still looks far too early for a move, but the Monetary Policy Report should offer a clearer read on the BoC's reaction function. We still pencil in a Q3 (July) hike, with the risk of a later hike this year depending on the intensity and persistence of energy and commodity price pressures.

Canadian Labor Market

6-Month Moving Average of Net Employment Change ; Rate



Source: Bloomberg Finance L.P. and Wells Fargo Economics

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EM Week Ahead

Reserve Bank of India • Wednesday

Reserve Bank of India (RBI) policymakers will assess monetary policy settings next week for the first time since the oil price shock, and we expect interest rates to be left on hold. Prior to events in the Middle East, RBI policymakers were inching closer to ending the easing cycle, but perhaps maintained a slight bias for additional rate cuts. With oil prices likely to push headline inflation sharply higher in the coming months and keep the rupee under pressure, we have our doubts the bias remains for additional rate cuts. In fact, through our forecast horizon, we believe rates in India will be kept unchanged as inflation pressures build and INR remains on the back foot.

But the RBI, like many other central banks, is caught in between an inflation and a growth shock. The age-old question will loom for the RBI: support growth or contain inflation? Inflation is likely to be the priority for policymakers, but the economy is set to soften given India's status as a major oil importer. Softening growth could keep the bias for policymakers tilted toward rate cuts. But, in our view, with the economy still likely to grow 6.5%–7% this calendar year, perhaps the need to lower policy rates is not that pressing. Either way, we will get more insight into the RBI thought process and how they consider this trade-off next week.

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Source: Bloomberg Finance L.P. and Wells Fargo Economics

Mexico CPI • Thursday

For Mexico watchers, the path of inflation has been top of mind. Not only to get a sense of the future direction of Banxico monetary policy but also to gauge whether financial markets will deem prior Banxico easing as a policy error. March inflation should show headline CPI popping higher to reflect the spike in energy prices. At the same time, core inflation, the measure that strips out elevated energy costs, is likely to remain flat. Policymakers have been more focused on sluggish growth prospects to rationalize lowering interest rates, but another key component to justify easing monetary policy has been policymakers' view that core inflationary pressures are muted.

A flat March core inflation print combined with a softening growth outlook, in our view, should continue to give policymakers rationale to cut policy rates at least one more time. Just recently, we adjusted our Banxico outlook to reflect our view for a terminal rate of 6.50% by mid-year. For now, that forecast remains in place, but we also flagged the possibility that Banxico has lowered rates too much. Risks on the horizon such as trade and political uncertainty, could prompt capital flight as carry associated with the peso has been eroded over time. Even a further shift in risk sentiment from the oil price shock can drive a repricing of local financial markets that ultimately prompts as aggressive *tightening* cycle that keeps growth weighed down for an extended period of time.

[\(Return\)](#)

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Brazil CPI • Friday

While Brazil is one of the economies a bit more shielded from higher energy prices, the inflationary impulse of a spike in energy costs will still materialize. To that point, we expect year-over-year headline inflation to rise close to, possibly back above, 4% when March data are released next week. The balance of risk is shifted toward a firmer rise in inflation, and with inflation expectations already reacting to the rise in energy prices, policymakers are also in reaction mode. To that point, fiscal authorities have already deployed policy to offset the rise in energy prices for households. And monetary policymakers are communicating more caution when considering further reductions in interest rates.

The rise in March inflation should keep fiscal and monetary policymakers busy, but also on guard going forward. For fiscal policy, President Lula is likely to deploy subsidies and other forms of financial support ahead of his re-election campaign. Brazilian Central Bankers are also likely to keep the gradual pace of rate reductions in place, possibly even keep rates steady, to defend against unanchored inflation expectations from materializing. Combined with geopolitical tensions that do not seem to be receding all that quickly, this policy mix could be in place for an extended period of time.

Source: Bloomberg Finance L.P. and Wells Fargo Economics

[\(Return\)](#)

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All estimates/forecasts are as of 4/2/2026 unless otherwise stated. 4/2/2026 13:51:40 EDT.

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U.S. Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week In Review

- Nearly two weeks into the conflict with Iran, energy prices have surged, adding fresh inflation risk to an already fragile backdrop. Recent CPI and PCE data show further progress on inflation stalling out, driven in part by rising energy and goods prices, with March energy inflation expected to spike sharply if gasoline prices remain elevated. Housing activity remains subdued due to affordability constraints, as higher mortgage rates and soft single-family demand offset pockets of strength in multifamily construction, while small business sentiment has weakened modestly. For the Fed, the uncertain inflation and labor market outlook reinforces a data-dependent stance, with two rate cuts still our expectation this year, though persistently high oil prices and rising inflation expectations could delay or reduce future easing.

U.S. Week Ahead

- The FOMC meeting will be the focal point next week, as intensifying stagflation risks put the Fed's dual mandate in tension. We expect the Committee to hold rates steady and emphasize optionality, with the updated SEP likely to show that expectations for slightly higher inflation and lower growth will net out to an unchanged policy path. Elsewhere, activity in interest rate sensitive sectors remains touch and go; we forecast industrial production slipped in February and new home sales rose in January.

Weekly Domestic Indicator Forecasts					
Date	Indicator	Period	Consensus	Wells Fargo	Prior
16-Mar	Industrial Production (MoM)	Feb	0.1%	-0.3%	0.7%
16-Mar	Capacity Utilization	Feb	76.2%	76.5%	76.2%
18-Mar	PPI Final Demand (MoM)	Feb	0.3%	0.3%	0.5%
18-Mar	PPI Final Demand (YoY)	Feb	—	3.0%	2.9%
18-Mar	Core PPI (MoM)	Feb	0.3%	0.3%	0.8%
18-Mar	Core PPI (YoY)	Feb	—	3.1%	3.6%
18-Mar	Factory Orders (MoM)	Jan	—	0.2%	-0.7%
18-Mar	FOMC Rate Decision (Upper Bound)	Mar	3.75%	3.75%	3.75%
19-Mar	New Home Sales (SAAR)	Jan	725K	719K	745K

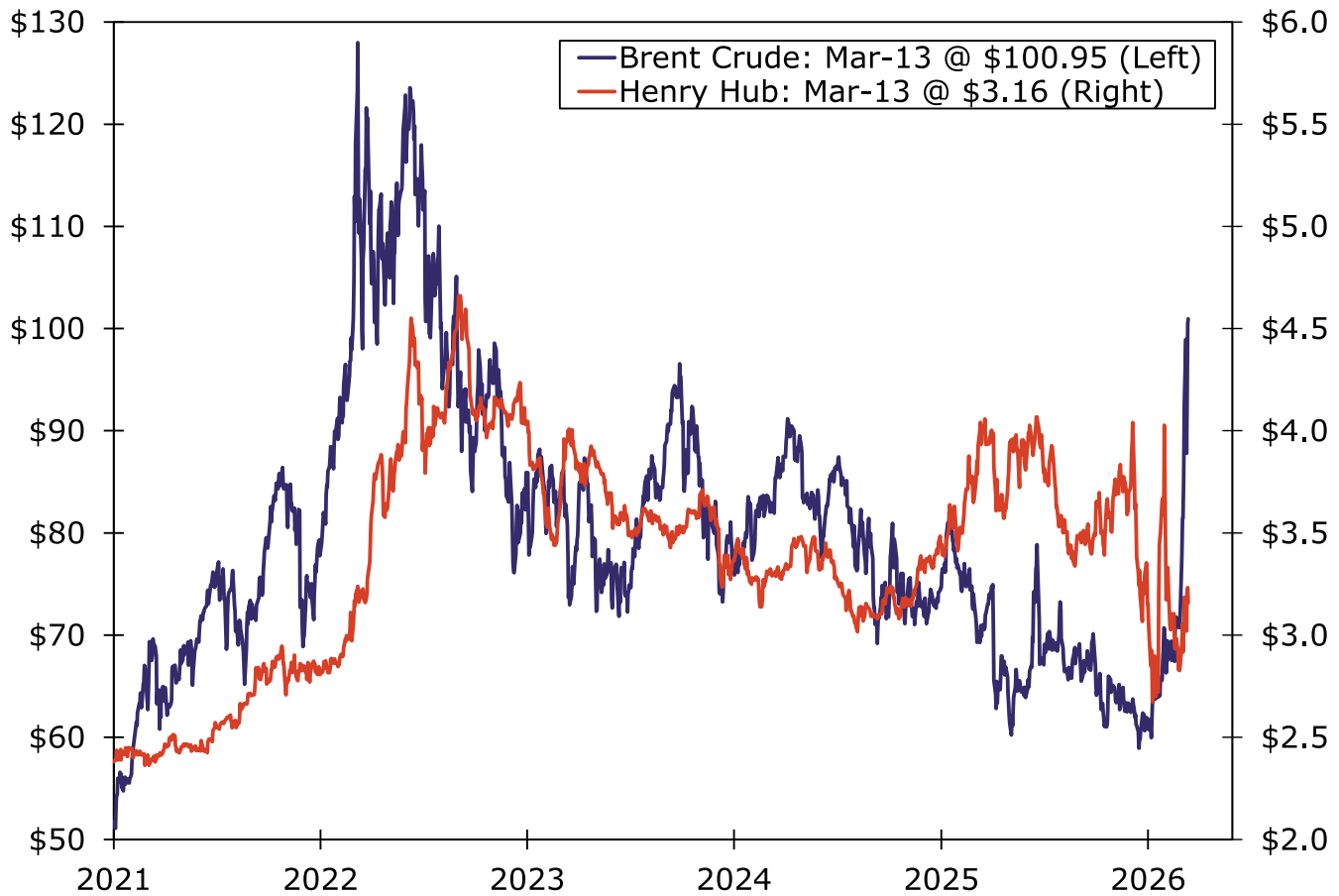
Forecast as of March 13, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.S. Week in Review

It has been almost two weeks since the start of the conflict with Iran, and since then, oil prices have been very volatile. As we go to print, the price of Brent crude has risen \$32 since the U.S. strikes, or about 46% above its February average. Henry Hub natural gas prices are also up 4% in the wake of the strikes. The surge in oil prices introduces fresh risk to an already complicated economic environment. A renewed rise in energy prices is especially troublesome for inflation, which has stalled on its progress back toward 2%. We got fresh CPI data this week, which showed that headline inflation rose 0.3% in February, leaving the year-over-year rate at 2.4% but pushing the more recent three-month annualized pace up to 3.0%. Energy prices rose 0.6% in February, driven primarily by a solid 1.1% gain in energy goods. Oil and gas prices were already rising in February in anticipation of a conflict in the Middle East, underpinning the strength, and we anticipate this will only further strengthen in March. Assuming the cost of regular gas averages \$3.65 per gallon for the rest of this month, we estimate energy goods will rise a more jarring ~18% month-over-month in March. Core CPI increased a moderate 0.22%, with softer vehicle prices offset by firmer gains in tariff-exposed goods such as apparel and household furnishings, while core services rose 0.3%, led by travel and medical services. Inflation pressures appear more stubborn in the PCE deflator, the Fed's preferred inflation metric. Headline PCE rose 0.3% over the month and 2.8% over the year in January, while core PCE rose 0.4%, lifting the year-ago rate a tenth to 3.1%. We estimate both headline and core measures to rise around 0.4% in February.

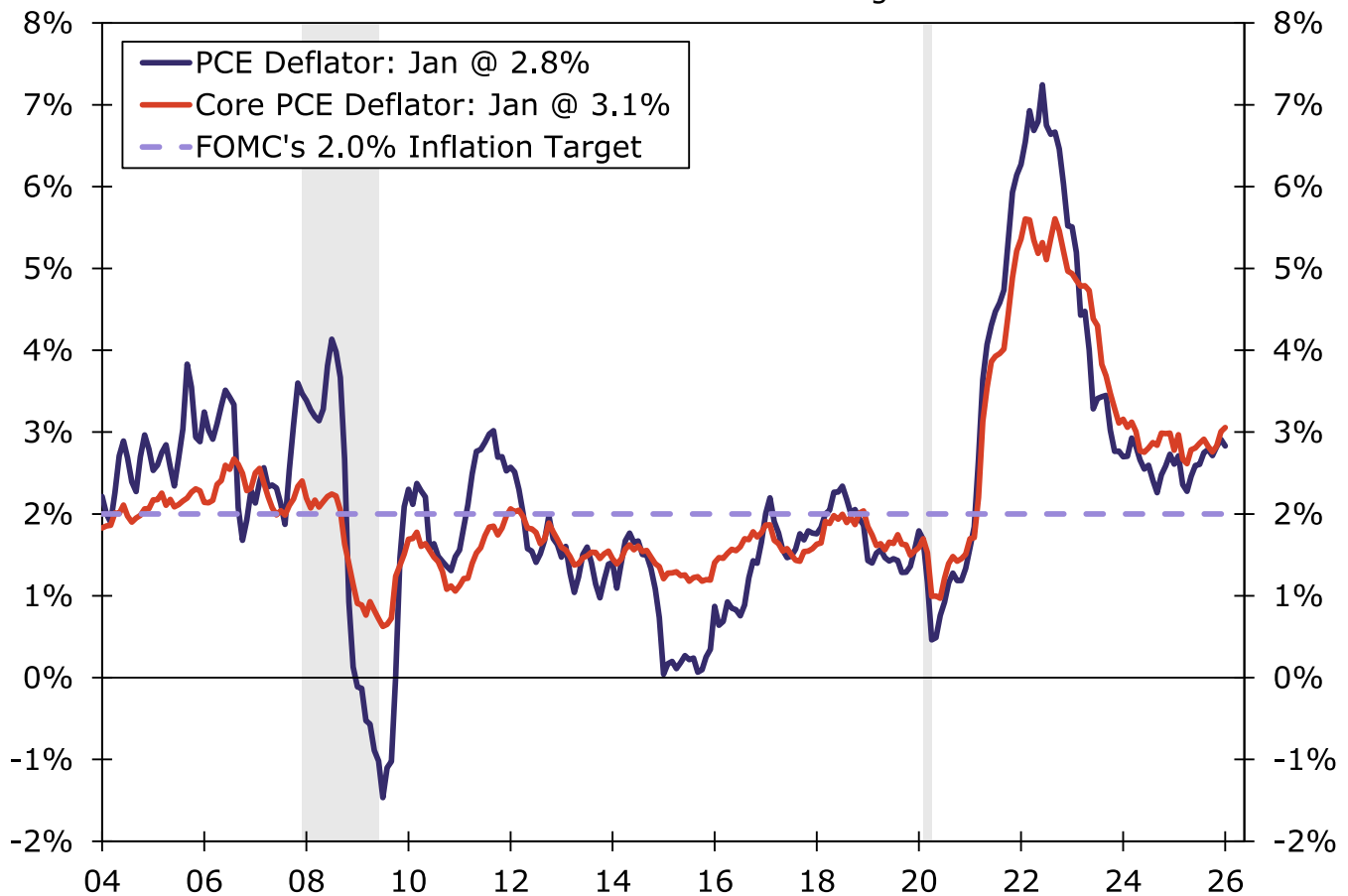
Oil and Natural Gas Prices



Source: Bloomberg Finance L.P. and Wells Fargo Economics

PCE vs. Core PCE Deflator

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

On the housing front, housing starts jumped 7.2% in January, though this was driven by a surge in multifamily starts. Underlying details painted a weaker picture as single-family starts declined and permits fell. Builder confidence deteriorated amid slowdowns in buyer traffic and a weakening in sales expectations. That said, there remains scope for improvement in multifamily development, driven primarily by single-family affordability challenges and thinning apartment supply. Affordability remains a significant hurdle for home sales, and this was apparent in the existing home sales print for February. Though existing home sales rose 1.7% to a 4.09 million-unit pace in February, sales remain notably below the trend in late 2025. Mortgage rates remain elevated around 6.0%-6.1%, and inventories remain strong. Overall, home buying is likely to slowly improve over the course of the year, but likely should continue to run at a sluggish rate due to the adverse affordability conditions.

Small business sentiment softened for a second month as firms pared back hiring and capex plans, though optimism about broader economic conditions remained relatively constructive, supported by solid earnings and sales. Meanwhile, trade data continue to be distorted by investment-related flows such as non-monetary gold. These data won't translate directly to what is included in GDP accounting, and thus the \$18.4 billion narrowing in the January trade deficit overstates the growth impact. Strong demand for high-tech-related products has propped up imports, though non-monetary gold accounted for roughly 40% of the overall drop in imports over the month. We expect the trade deficit to widen over the course of the year due to pent-up import demand and near-term clarity on tariffs.

It is times like these that justify the mantra of "data-dependence" for policymakers at the Fed. Given the inflation data from this week are a bit more dated than is typical when heading into the March meeting, we expect they do little to sway the hawks, doves, and undecideds one way or another. Policymakers are likely to focus instead on the uncertain outlook for energy prices and the broader inflation outlook in light of the developing conflict with Iran. On face value, the Fed is likely to look through a temporary energy-driven increase in inflation. However, inflation expectations are highly sensitive to energy prices, and sustained upward pressure on inflation could narrow the margin for additional easing and delay future rate cuts, particularly if labor market cooling continues to be gradual. For now, our base case forecast remains two 25 bps rate cuts at the June and September FOMC meetings. That said, the longer oil prices remain elevated, the more difficult that may be to realize.

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U.S. Week Ahead

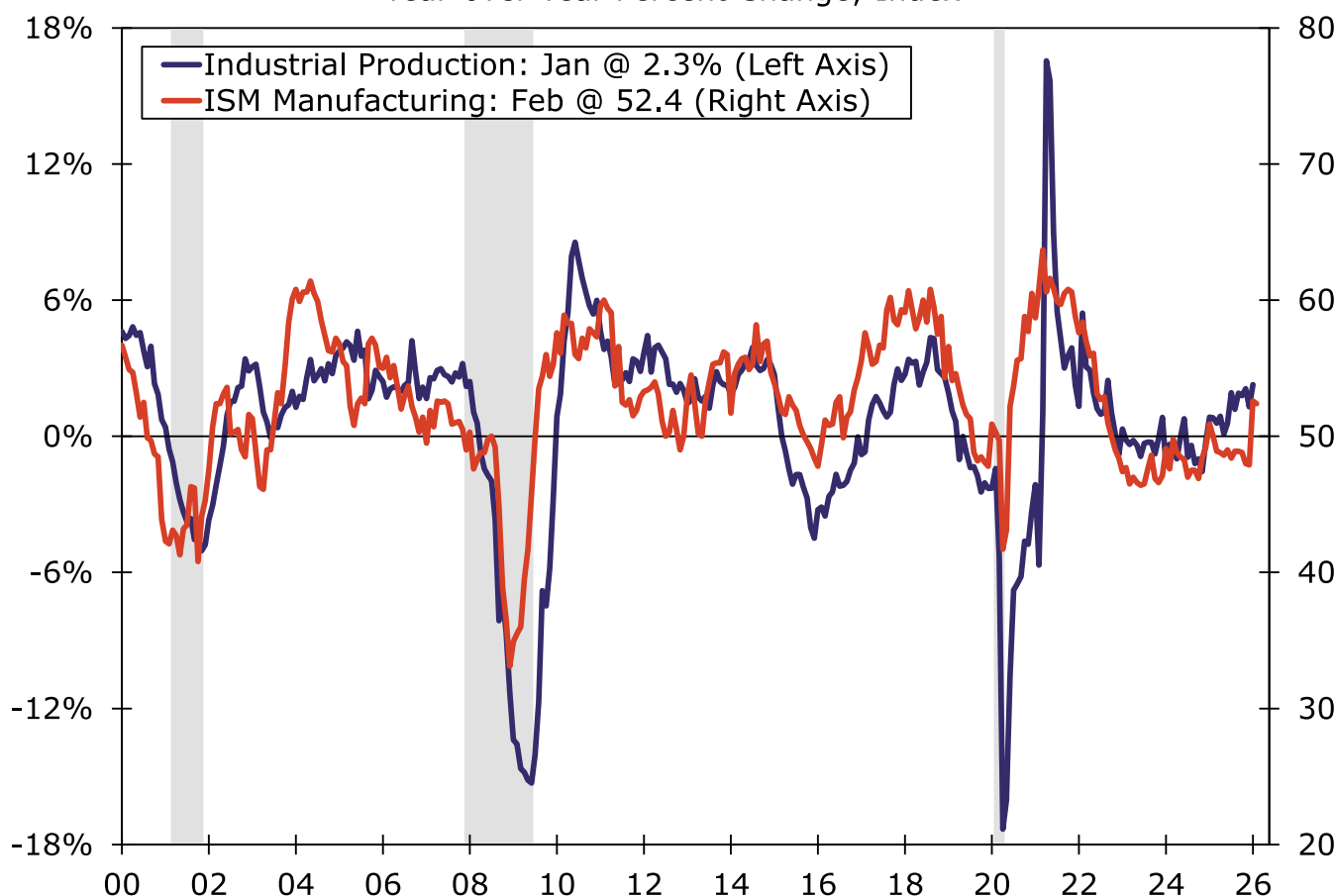
Industrial Production • Monday

The manufacturing backdrop remains touch and go amid elevated uncertainty. We have long expected a rebound in broad manufacturing activity this year as firms begin to reengage sidelined capital spending plans that were delayed by tariffs, but the latest conflict in Iran introduces new downside risks to that outlook. Recent industrial data point to modest improvement at the margin, though growth continues to be driven primarily by high-tech-related investment rather than more traditional areas of capex.

That said, pent-up demand for conventional capital spending, combined with a recent easing in tariff pressures following the ruling against IEEPA tariffs and the maintenance of a 10% baseline tariff, could support a gradual pickup in activity. February ISM manufacturing edged down just 0.2 points to 52.4 but remained in expansion territory, supported by strength in new orders, production and supplier deliveries. Against this backdrop, we expect industrial production slipped modestly in February, down 0.3%.

Industrial Production vs. ISM Manufacturing

Year-over-Year Percent Change; Index

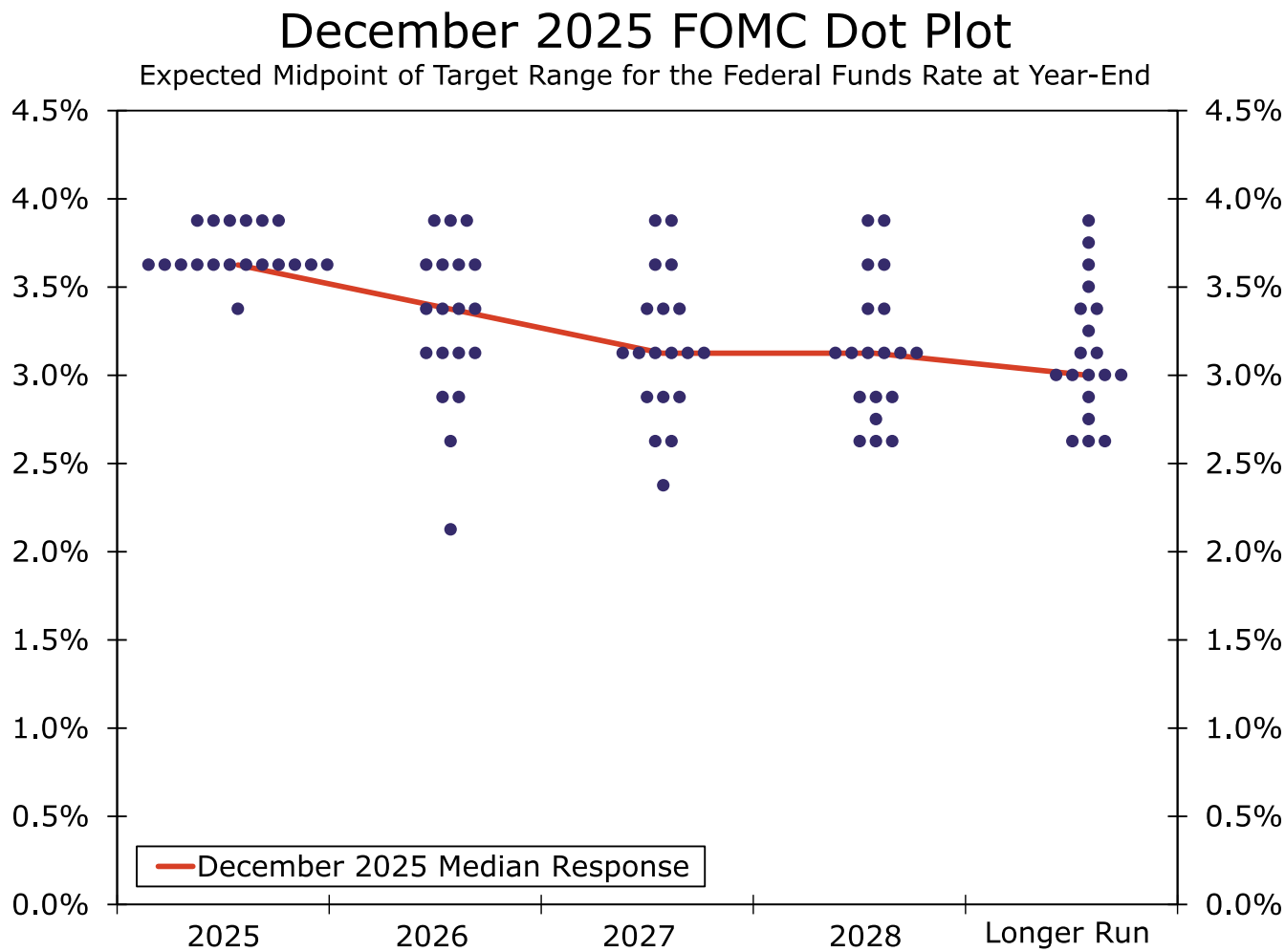


Source: Federal Reserve Board, Institute for Supply Management and Wells Fargo Economics

FOMC • Wednesday

Stagflation risks have increased since January, putting the FOMC's dual mandate in tension. Volatile energy prices tied to the Iran conflict have induced uncertainty, but the net signal from recent data is little changed: the labor market is still muddling along, and PCE inflation remains stuck near 3%. We expect the Committee to hold rates steady next week and lean heavily on optionality, emphasizing that higher uncertainty argues for a data-dependent approach.

The Summary of Economic Projections (SEP) should tilt modestly in a stagflationary direction, with higher inflation forecasts extending into 2027, and slightly lower GDP projections and modestly higher unemployment rate expectations for 2026. We expect the median dot for the federal funds rate to remain unchanged, as the risks of higher inflation and lower growth are likely to offset each other. Our forecast continues to call for two 25 bps cuts in June and September, alongside a well-telegraphed slowdown in balance sheet runoff that should have minimal impact on longer-term interest rates.



Source: Federal Reserve Board and Wells Fargo Economics

New Home Sales • Thursday

New home sales are gaining momentum. After averaging a 660K annual pace through the first half of 2025, which was slightly below the year prior, the average pace of transactions jumped to 751K in November and December. Lower mortgage rates appear to be a main driver. The average 30-year fixed rate fell from 7.0% in January 2025 to 6.2% in December and have since slid further to 6.0%. Furthermore, approximately two-thirds of builders are using incentives like price cuts and mortgage rate buy-downs to offset macro challenges, an elevated share compared to recent history.

Harsh winter weather likely prompted some giveback in January. However, price cuts and lower mortgage rates are likely to sustain a healthy overall pace of transactions. We forecast that 2026 started off with a 719K annual sales rate in January, which would be near the upper end of new home sales' overall range last year.

We expect that new home sales will sustain this momentum over the course of 2026. Builder incentives will likely continue to buttress new home sales in the year ahead. We also anticipate an average 30-year mortgage rate of around 6.1% this year, still elevated but below the 6.6% average in 2025. That said, lofty inventory-to-sales ratios will likely preclude a corresponding pickup in single-family construction.

[\(Return to Summary\)](#)

Source: Freddie Mac, U.S. Department of Commerce and Wells Fargo Economics

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International Week Ahead - March 13, 2026

Weekly

Economist(s)

 [Aroop Chatterjee](#)

 [Brendan McKenna](#)

 [Azhin Abdulkarim](#)

International Week Ahead

- **European Central Bank:** Focus On Communication, Not Near-Term Action
- **Bank of Canada:** On Hold, Policy Asymmetry Shift Away from Near-Term Easing
- **Bank of Japan:** Tightening Bias Intact, Yet Bar for Immediate Action Is High
- **Canada CPI:** Large Drop in Headline Inflation Reflects Base Effects
- **Bank of England Bank Rate:** On Hold, Easing Not Over
- **Reserve Bank of Australia Cash Rate:** Rate Hike Likely Brought Forward
- **Brazilian Central Bank Selic Rate:** Tempered Easing to Start

Weekly International Indicator Forecasts						
Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
16-Mar	Canada	CPI (YoY)	16-Mar	1.9%	1.8%	2.3%
16-Mar	Canada	CPI (MoM)	16-Mar	0.7%	0.6%	0.0%
16-Mar	Canada	Core CPI - Median (YoY)	16-Mar	2.4%	2.4%	2.5%
16-Mar	Canada	Core CPI - Trim (YoY)	16-Mar	2.4%	2.3%	2.4%
17-Mar	Australia	Reserve Bank of Australia Cash Rate	17-Mar	4.10%	4.10%	3.85%
18-Mar	Canada	Bank of Canada Policy Rate	18-Mar	2.25%	2.25%	2.25%
18-Mar	Brazil	Brazilian Central Bank Selic Rate	18-Mar	14.63%	14.75%	15.00%
19-Mar	Japan	Bank of Japan Policy Rate	19-Mar	0.75%	0.75%	0.75%
19-Mar	U.K.	Bank of England Bank Rate	19-Mar	3.75%	3.75%	3.75%
19-Mar	Eurozone	European Central Bank Deposit Rate	19-Mar	2.00%	2.00%	2.00%

Forecast as of March 13, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

G10

European Central Bank Policy Rate Decision • (3/19)

Focus on Communication/Updated Staff Forecasts, Not Near-Term Action

February inflation surprised to the upside, driven by core components (firmer services, fading goods disinflation, hotter food and a diminished energy drag). The recent oil shock shifts risks away from undershooting inflation toward guarding against persistence. European Central Bank (ECB) staff forecasts should show meaningful upward revisions to 2026 inflation, with any lift to 2027 a key signal for second round effects. Activity looks more resilient than feared, but confidence remains fragile amid geopolitics, trade uncertainty and energy volatility. Expect a less relaxed tone, potentially retiring the long-standing “policy in a good place” language. This is intended to harden rhetoric without signaling imminent rate moves. Overall, we expect optionality to be preserved, but the asymmetry has shifted away from cuts. If energy prices remain elevated, H2 tightening risk creeps back into the distribution, even if near term action is unlikely. Financial conditions have already tightened via repricing in rates. We expect the euro may be negatively correlated with the oil shock as growth headwinds offset firmer rate expectations.

Bank of Canada Policy Rate Decision • (3/18)

On Hold, but Policy Asymmetry Has Shifted Away from Near-Term Easing

We expect the Bank of Canada (BoC) to leave rates unchanged at this meeting. March is too early for a material change in guidance, particularly with USMCA related trade risks still unresolved. That said, the tone should be less dovish than in recent months. The bar for additional cuts has risen, and the BoC is likely to emphasize two-sided risks rather than a clean easing bias. The external impulse from higher oil prices is a game changer relative to our previous views. We detailed this change in our recent [Monthly](#). If sustained, higher energy prices support nominal income, bolster parts of the growth mix and keep inflation uncomfortably above target. This undermines the earlier logic for Q2–Q3 cuts that rested on soft labor markets, trade exposed sectors and easing underlying

inflation. While core inflation had been cooling, the energy shock raises the risk of renewed persistence, especially via headline inflation and inflation expectations. On growth, Canada is relatively insulated versus other advanced economies given its energy exposure, which reduces downside risks relative to peers. The BoC is likely to frame policy as “wait-and-see,” stressing data dependence and uncertainty around the durability of the oil move. Importantly, the asymmetry now points away from cuts. Even if energy prices retrace modestly near term, the threshold for restarting easing is higher than it was earlier this year. We no longer expect near-term cuts, and our baseline now incorporates a 25 bps hike in Q3-2026, with scope for more if oil prices extend higher, USMCA risks fail to materialize (i.e., tariff weighted averages remain broadly unchanged) and/or fiscal rollout accelerates. The shift in policy asymmetry should be mildly supportive for front-end Canada rates and limits downside for the CAD, especially against currencies where policy trade-offs are acute and growth risks severe.

Bank of Japan Policy Rate Decision • (3/19)

Tightening Bias Intact, yet Bar for Immediate Action Is High

We expect the Bank of Japan (BoJ) to keep rates unchanged at this meeting. While recent market pricing and JPY dynamics keep March “in play,” the BoJ is more likely to use this meeting to reinforce its normalization bias. Communication should lean on gradualism, data dependence and vigilance around FX and financial conditions. Business activity has improved, with manufacturing and services indicators firming, but household demand remains fragile as real wage growth is only slowly stabilizing. Inflation has eased from recent peaks, yet core and underlying measures remain at or above target, leaving the BoJ comfortable that underlying inflation dynamics are broadly consistent with its objective. JPY weakness and JGB volatility remain key constraints. The BoJ is acutely sensitive to the risk that prolonged inaction could reignite currency depreciation and undermine policy credibility. That said, with the JPY relatively range bound in recent weeks and market conditions somewhat calmer, the urgency to act immediately has diminished. We continue to expect one additional hike later this year, with the timing skewed toward the latter part of the year (October). An earlier move would require clearer signs of renewed JPY dislocation and/or a further acceleration in services inflation and wage growth, while a delay would be more likely if growth softens again and inflation persistence fades. A hold with hawkish leaning guidance should limit near term downside in the JPY, but absent concrete action, the currency is likely to remain on a depreciating trend, pressured by a large negative terms-of-trade shock, weak fiscal dynamics and a still wide rate gap with the US.

Canada February CPI • (3/16)

Large Drop in Headline Inflation Reflects Base Effects

We expect headline inflation in February to decline to 1.8% year-over-year from 2.3% in January. This largely reflects base effects related to the GST/HST holiday related boost last year as month-over-month inflation is expected to accelerate to 0.6% month-over-month from a flat reading in the previous month. We expect underlying core inflation to continue to moderate with weighted median and trimmed mean inflation moving down to 2.4% and 2.3% year-over-year, respectively. If oil prices evolve as suggested by futures markets, the potential boost to Canada inflation is likely to be sizable—adding up to 1pp to headline inflation over a 1-year horizon. We expect most of this inflationary impulse to pass through into year-end 2026. Greater persistent in oil prices and/or higher levels imply a much larger inflationary surge. For example, if oil prices average above \$130/bbl, the boost to inflation is in excess of 3pp. We recently upgraded our Canada inflation forecast for 2026 and 2027 higher to 2.4% and 2.3% from 1.6% and 2.0%, respectively (see [here](#)).

Reserve Bank of Australia Policy Rate Decision • (03/17)

Rate Hike Likely Brought Forward

We expect the Reserve Bank of Australia (RBA) to raise the cash rate by 25 bps to 4.10% at next week’s meeting, marking the second hike this year after February and pulling forward our previous expectation of a May move. While uncertainty tied to Middle East tensions and higher energy prices will factor into the decision, this is largely a domestic inflation story, with inflation trending higher since Q2-2025 and January headline and trimmed mean readings of 3.8% year-over-year and 3.4%, both exceeding expectations. With solid growth, low unemployment and rising inflation expectations, the RBA has scope to respond to mounting price pressures. We expect this to be the final hike as growth slows, though risks skew toward further tightening if inflation continues to rise, labor markets tighten further or higher oil prices and geopolitical uncertainty persist.

Bank of England Policy Rate Decision • (03/19)

On Hold, Easing Not Over

Next week, when the Bank of England (BoE) announces its latest policy decision, we expect the Bank Rate to remain unchanged at 3.75%, marking a shift from our prior call for a cut. This change does not reflect a view that easing is over but rather that elevated uncertainty may lead the Monetary Policy Committee to proceed cautiously until there is greater clarity on the duration of Middle East conflict and higher energy prices. The meeting comes without updated forecasts or a press conference and we expect neutral forward guidance that preserves optionality for the BoE. Given subdued growth, as reinforced by January’s GDP data, and elevated unemployment, we look for rate cuts in Q2 and Q3, taking Bank Rate to 3.25%, though risks are skewed toward a longer hold, not tightening, if the conflict persists.

EM

Brazilian Central Bank Policy Rate Decision • (03/18)

Tempered Easing to Start

We expect the Brazilian Central Bank (BCB) to begin its easing cycle with a 25 bps cut next week, taking the Selic Rate to 14.75%. Even before the Middle East conflict, election-related fiscal risks and BRL volatility underpinned our more cautious view on easing. Pre-election populism alongside Lula’s still competitive polling is likely to strain Brazil’s limited fiscal flexibility and renew pressure on local financial markets. While higher oil prices can be a net positive for Brazil’s economy (keeping near-term growth prospects supported), the sharp rise in energy prices will keep inflation expectations uncomfortably elevated for policymakers. Lingering fiscal concerns and evidence of economic resilience pre-Iran reinforces our view for a more gradual and tempered BCB monetary easing cycle than forecast by economists’ consensus. We forecast BCB’s policy rate at 13.25% by end-2026 vs. 12.125% median forecast per the BCB’s FOCUS Survey. Market expectations for the policy rate have moved higher in recent days with interest rate futures suggesting 13.5% by year-end vs. 12.16% at the start of March. Risk premium in interest rate markets may continue to widen as oil moves higher, inflation expectations show signs of becoming de-anchored and/or economic populism efforts are renewed.

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